

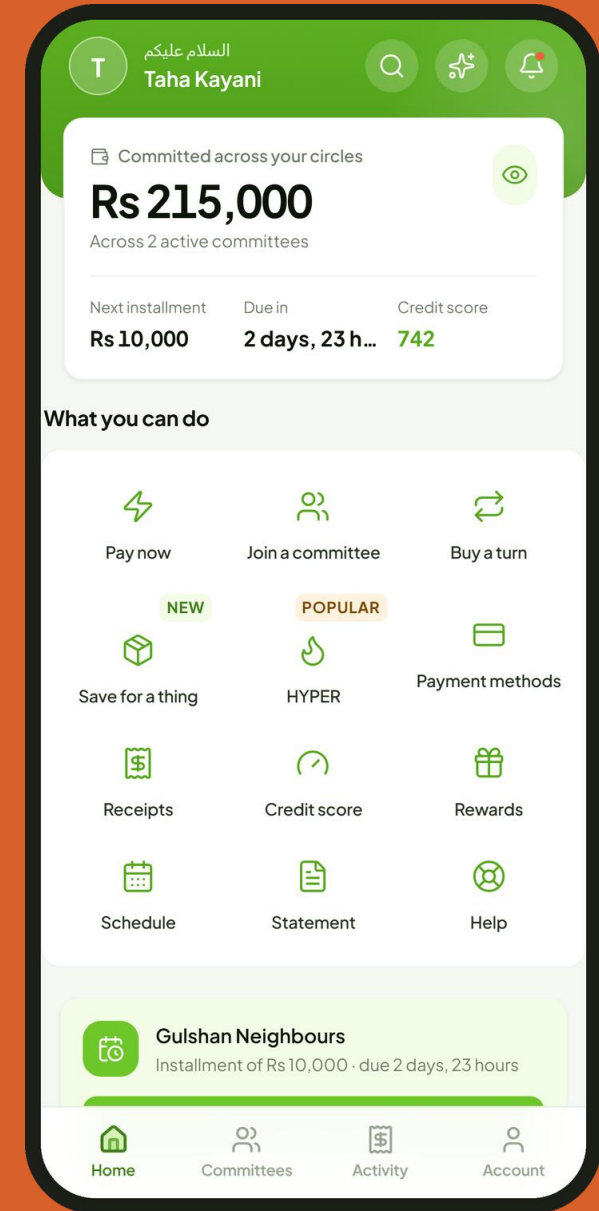


Committee Savings Partnership

Proposal to Mashreq Bank Pakistan

Taha Kayani, Chairman, Halqa

30 September 2026



Summary



The proposal, the roles of each party and the benefits to each

Background	About 4 in 10 Pakistanis save in committees. Almost all of it is cash, held by one organiser, outside any bank, with no record of who paid.
Proposal	Halqa runs committees in its application. Every member holds a Mashreq account; Mashreq collects each instalment and pays each pot.
Roles	Halqa: rules, turn order, member checks, reminders and records. Mashreq: accounts, collection, payouts and profit. A licensed takaful or insurance operator protects members.
Regulation	Through Mashreq's licence, with Halqa acting as its service provider under the State Bank's outsourcing framework.
Status	The application is built and runs in preview. No member money has moved.

For members

- Money held by a bank, not by an organiser
- One flat fee for every turn
- Automatic payment on payday
- The pot paid the same day
- Takaful or insurance if a member defaults
- A credit record from every payment
- Profit on balances returned as points

For Mashreq

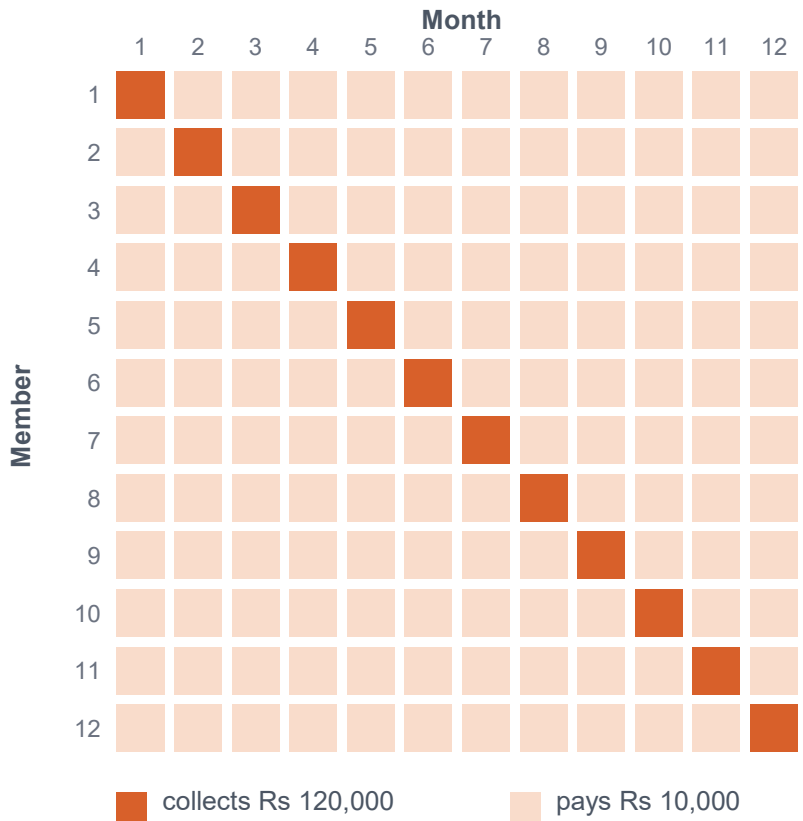
- 6 to 20 new accounts from each circle
- About Rs 2.4 billion of deposits per 100,000 members
- Instalments held about 7 days before payout
- A repayment record on every member
- Fee income, shared with Halqa
- Asset financing after clean circles

How a Committee Works

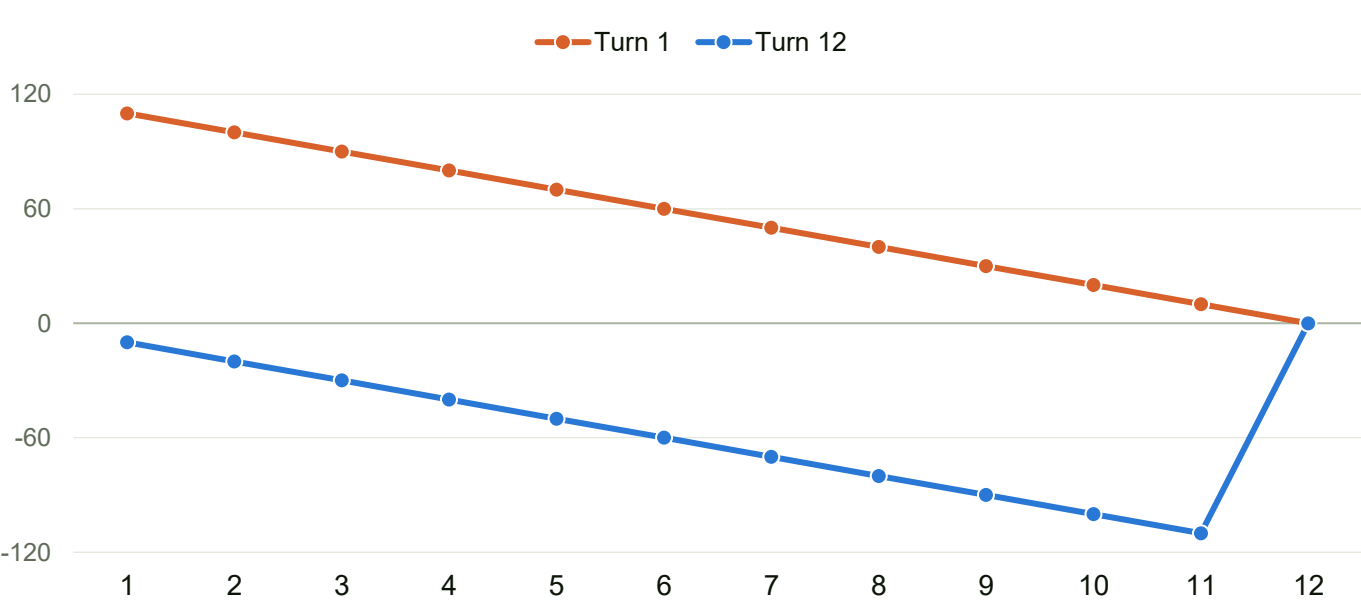


Also called kameti, BC or bisi. Example: 12 members each pay Rs 10,000 a month for 12 months

Who pays and who collects by month



Net position of two members after each month Rs thousand



Turn 1 takes Rs 120,000 at once and repays it over the year. Turn 12 saves every month and takes the pot last. Both end the year at zero.

Rs 120,000

the pot, paid to one member each month

No interest

each member pays in Rs 120,000 and receives Rs 120,000

Fixed order

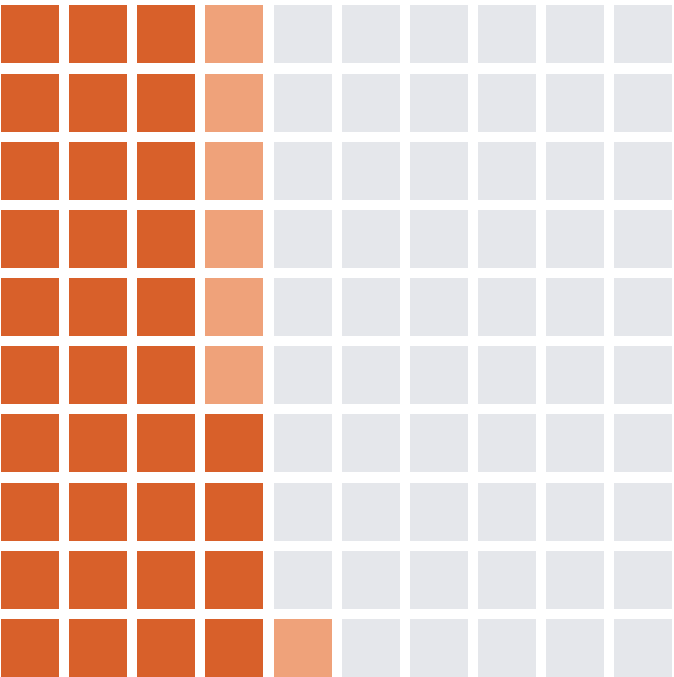
the host sets the order of turns at the start

Market



Committee use in Pakistan, from published estimates

Pakistanis who save in committees per 100 people



34 in 100, Karandaaz estimate [1]
41 in 100 including these, Oraan estimate [1]

About 100 million

people use committees, on the higher estimate [2]

Rs 4 trillion

a year passes through committees, estimated [1]

2 times

as many women as men take part [3]

91%

of committees collect monthly [4]

56%

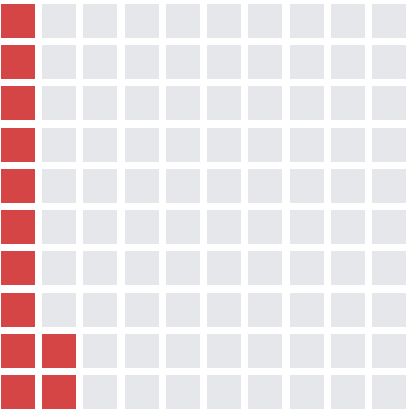
of adults have a committee within 1 km of home [5]

US\$18

average monthly contribution, range US\$0.09 to 470 [4]

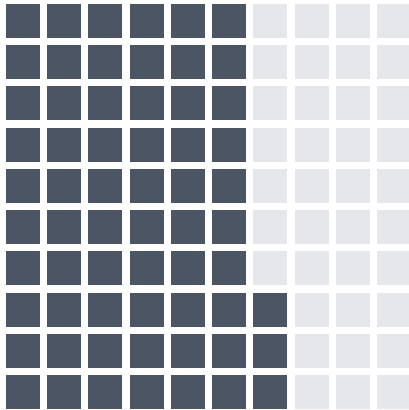
Problems with Informal Committees

Losses to fraud, cash kept outside banks and no credit record



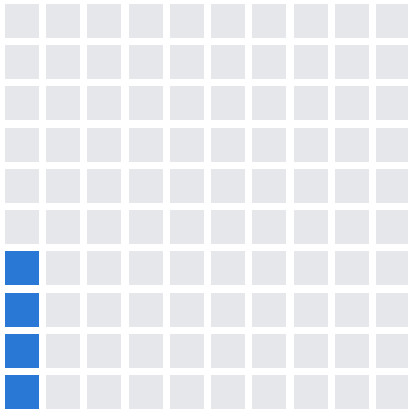
12%

of committee users have lost money to fraud [1]



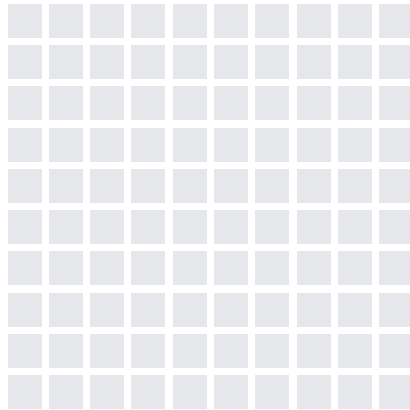
63%

of savers keep their savings as cash at home [1]



4%

of savers use a formal financial institution [1]



0

on-time committee payments reach a credit bureau

Case, 2022

One organiser ran more than 100 committees through Facebook and defaulted on about Rs 420 million. No written records were kept. [2]

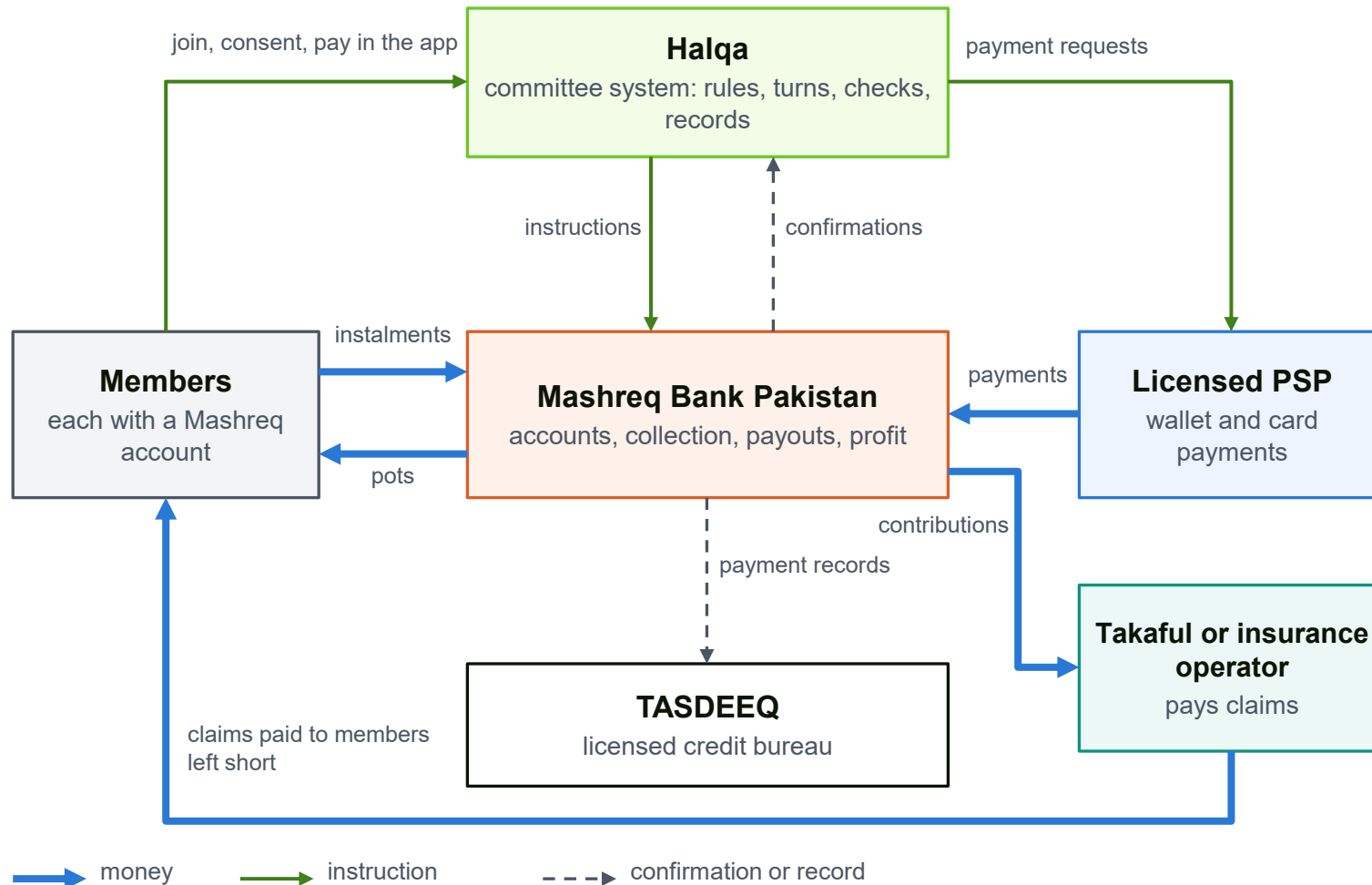
How informal committees fail

- The organiser leaves with the pot
- A member stops paying after collecting
- Disputes over the order of turns
- No record of who paid what

Proposed Structure



Halqa runs the committee system; Mashreq holds and moves the money



Halqa

- Circle rules and turn order
- Member checks and credit score
- Reminders, records and receipts
- Late charges and exits
- Data for credit reporting

Mashreq

- Customer due diligence and accounts
- Direct debit mandate and collection
- Holding balances, paying profit
- Payouts to collectors
- Collecting the fee

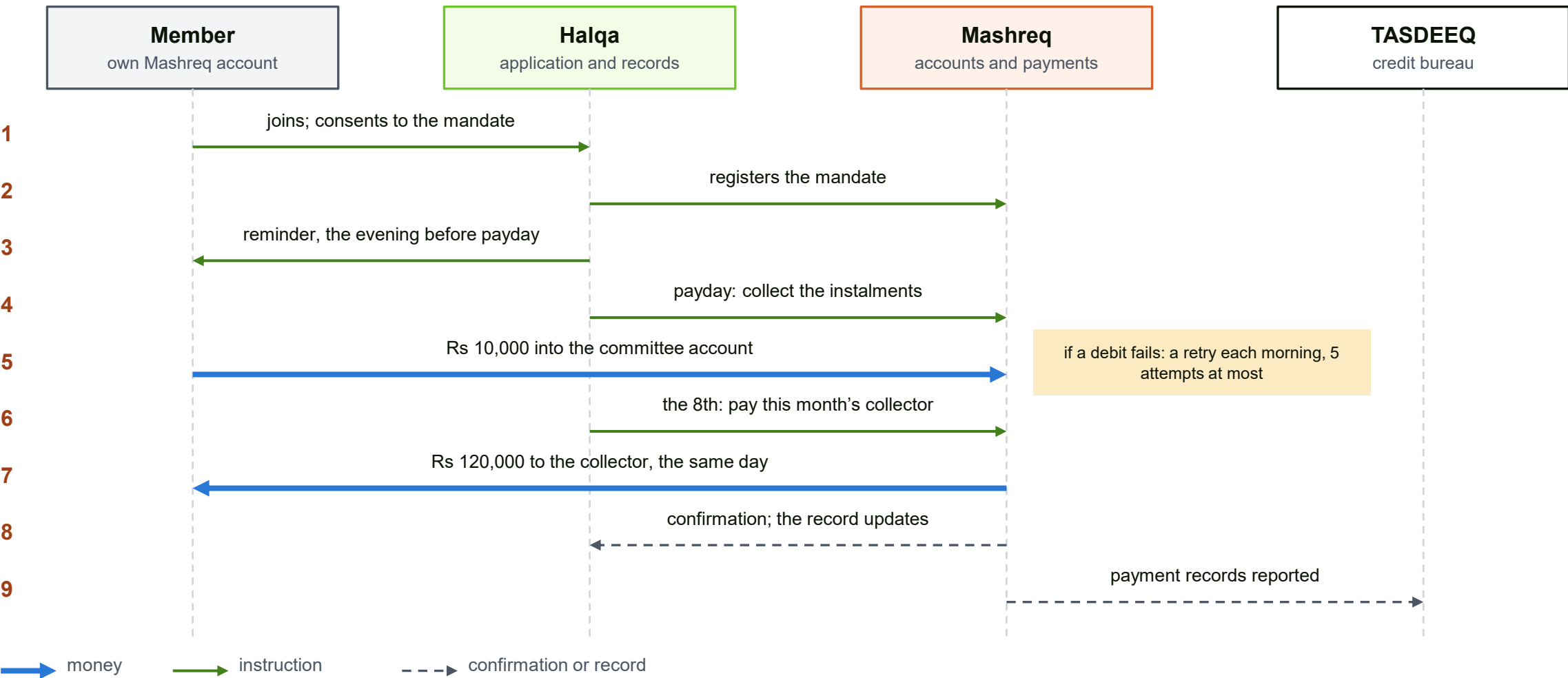
Halqa never

- Holds or receives member money
- Lends money
- Insures members

Monthly Cycle



One month of a circle of 12 members at Rs 10,000, step by step

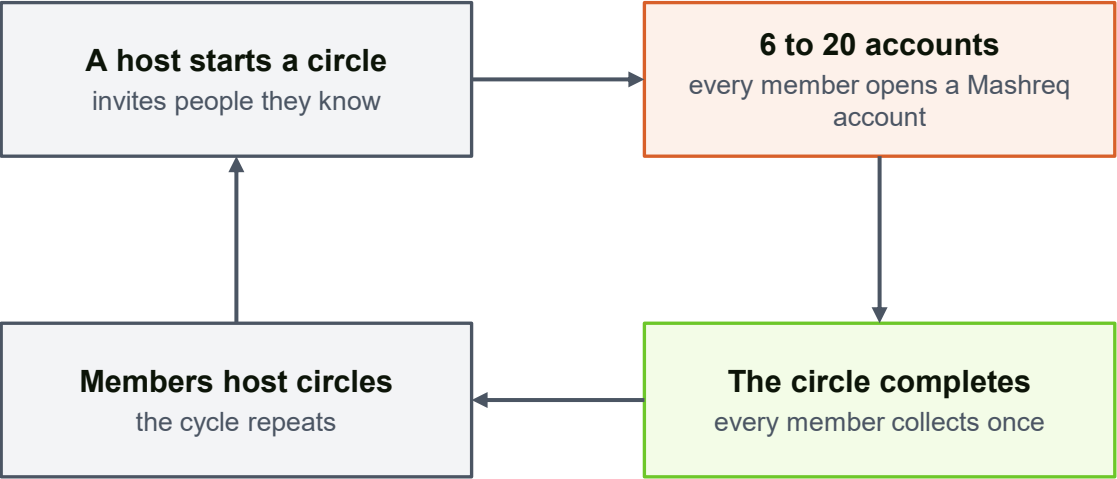


Customer Growth and Deposits



Accounts arrive by the circle; deposits at Mashreq's own average balance

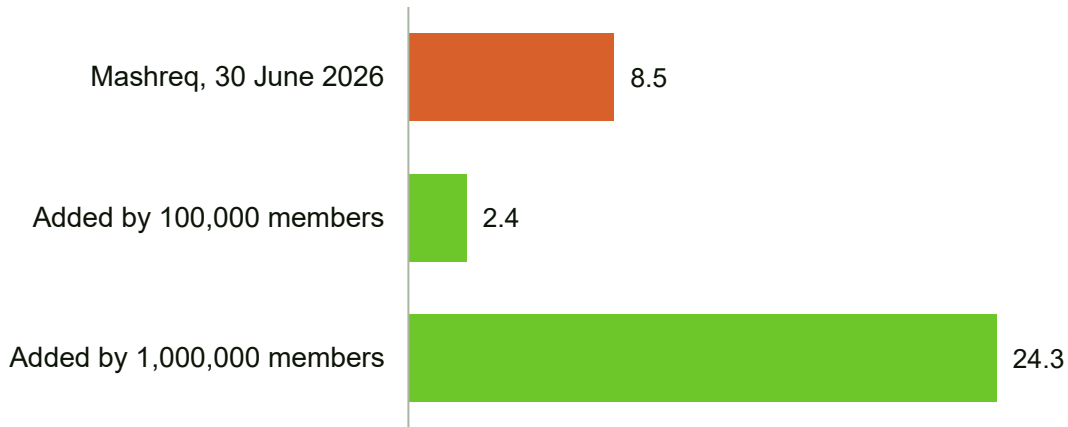
How circles bring accounts



Channels

Hosts	points for circles that complete cleanly, never for recruiting
Employers	circles offered to staff
Families abroad	relatives in the UAE through the Mashreq Pakistan Account
Mashreq	circles offered inside Mashreq's own application

Deposits Rs billion



Basis: Rs 8,515 million of deposits ÷ 350,000 customers = about Rs 24,000 a customer, 30 June 2026 [1]

+29%

more customers from 100,000 members, on 350,000 today

7 days

each instalment is held at Mashreq between payday and the 8th

Credit Reporting and Lending

Every instalment becomes a repayment record from the first day



What each record holds

- Amount and due date
- Date paid, on time or late
- Circle type and turn
- Whether the circle completed

Reporting route

- Through Mashreq's TASDEEQ membership
- Or Halqa as a data provider
- Mashreq decides the route
- From the first payment

Evidence from lending circles

+168 points

average credit score gain when lending circle payments were reported to US credit bureaus [1]

No advances

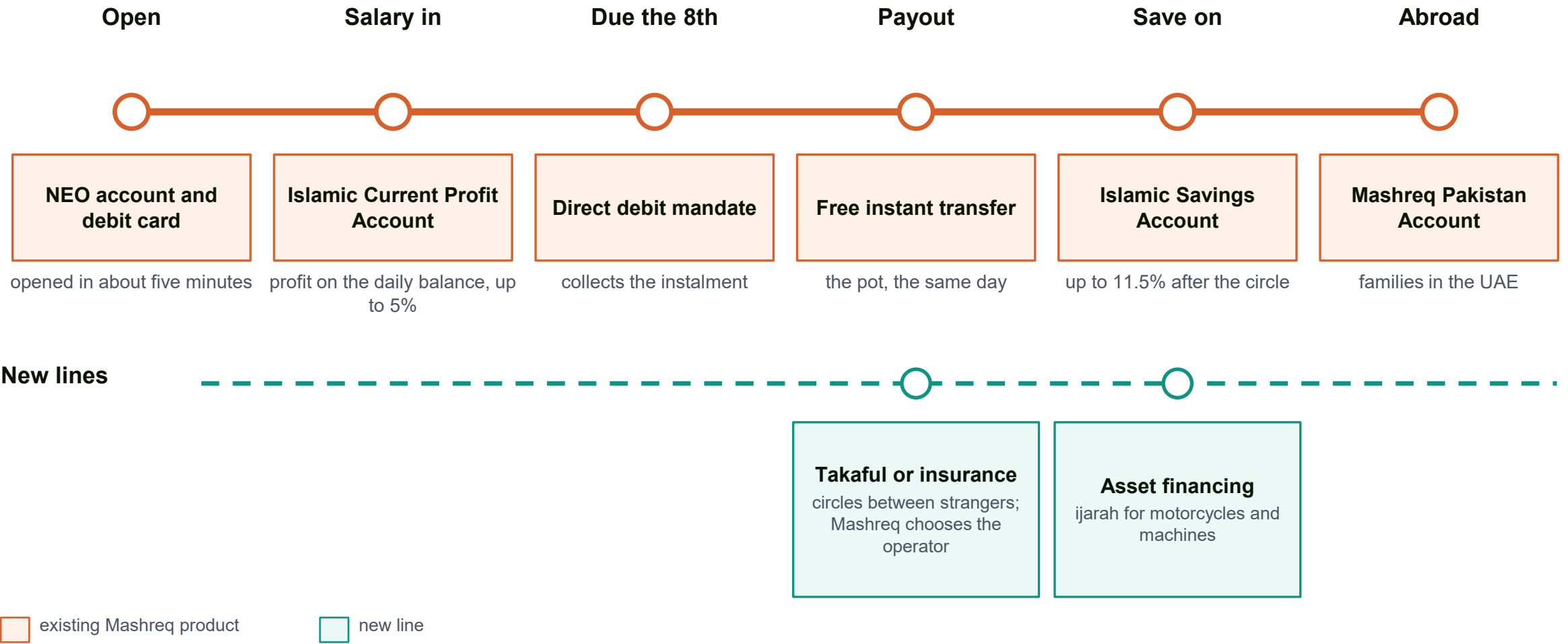
on Mashreq's balance sheet at 30 June 2026 [2]

Committee members arrive with twelve months of repayment history. That history is the data Mashreq needs to start lending safely, beginning with asset financing for motorcycles and machines bought through asset circles.

Mashreq Products Used



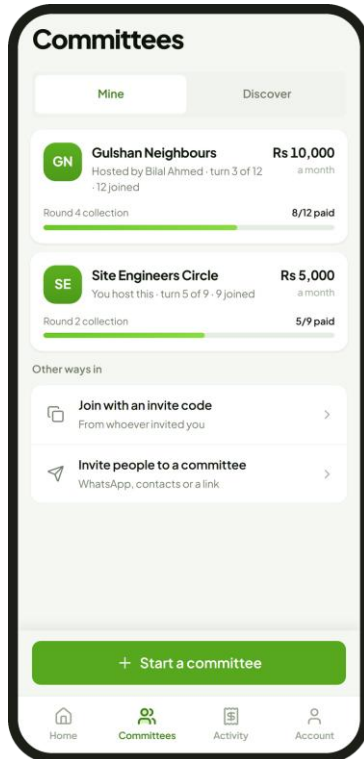
Existing products at each step of a committee, and two new lines



Source Mashreq NEO Pakistan product pages and rate sheets, read 29 September 2026; rates are up to figures

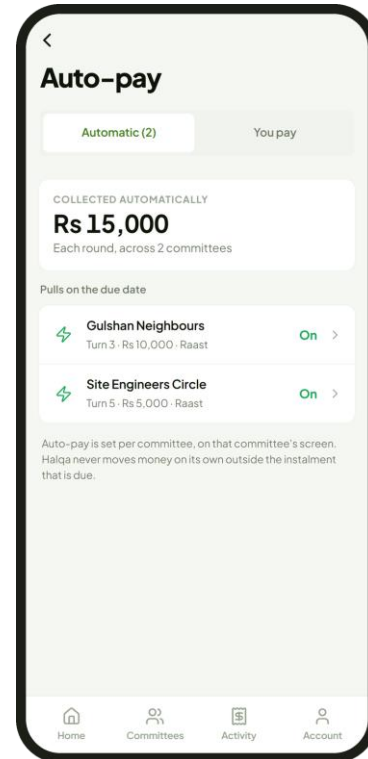
Member Application

Screens from the working preview, with sample data



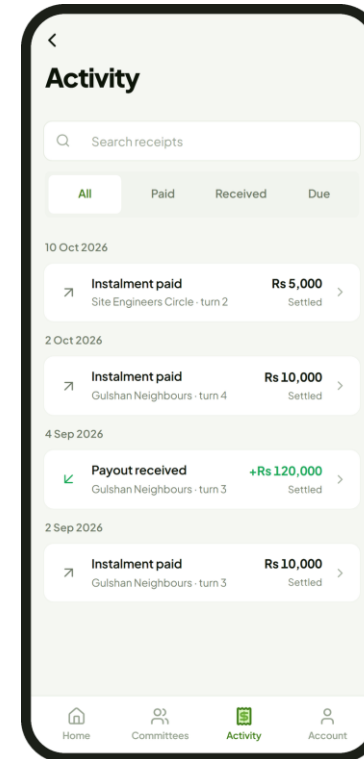
1 Join a circle

By invitation code, QR or link. Only the turns open to the member's score are shown.



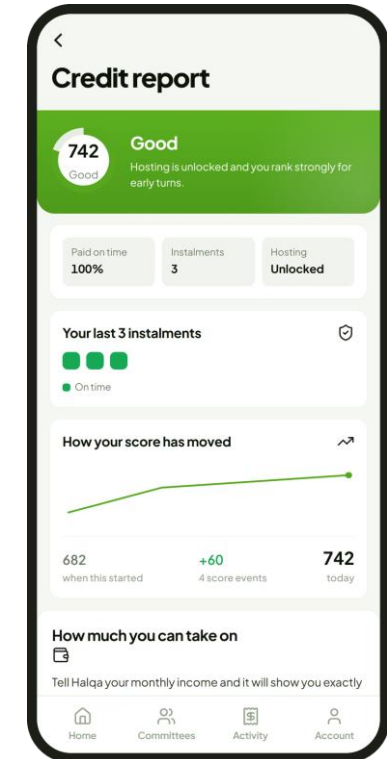
2 Automatic payment

The member consents once. Collection on payday; every debit is shown.



3 Activity and payout

Every payment and payout with a receipt. The pot arrives the same day.



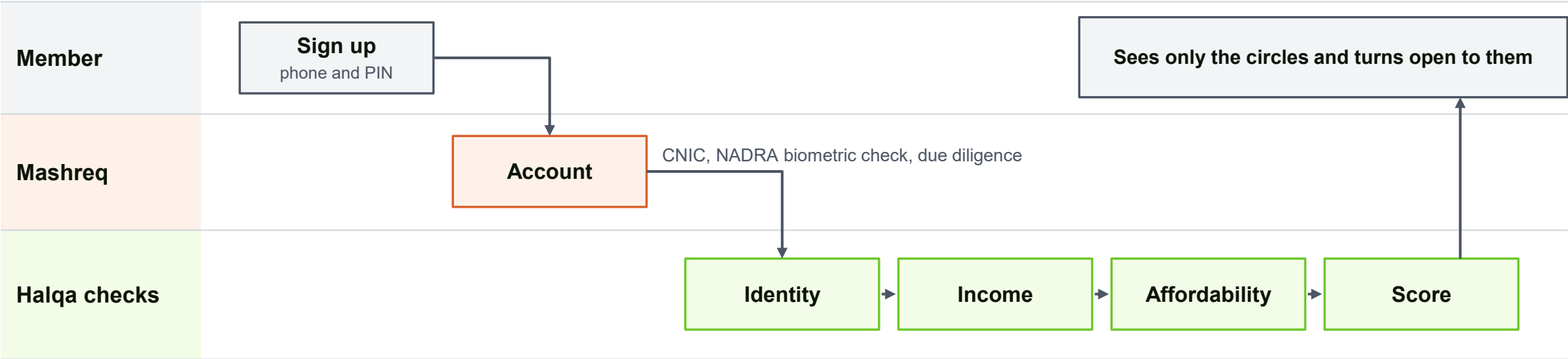
4 Credit report

Score from 300 to 850, on-time history and the turns open to the member.

Onboarding and Verification



Mashreq opens the account; Halqa's checks decide which circles and turns each member may join



Identity

- Names on CNIC, account and app match: 0.90 or more passes; 0.80 to 0.90 goes to a person
- Live face match
- Home and job checked

Income

- Salary from one employer on about the same day each month
- Daily circles: Rs 1,000 or more on 5 days a week for 8 weeks
- Own transfers and loans excluded

Affordability

- All instalments within a third of verified income
- Within 40% including other loans, the State Bank limit

Score

- From 300 to 850
- Decides which turns open
- New members start in the last three turns

Halqa stores results only: never face images, card numbers or passwords.

Committee Types



Six types; the less the members know each other, the more checks apply

	Known check level 1	Unknown check level 2	Large unknown check level 2	Asset check level 2	UAE family check level 1	Hyper check level 3, experimental
Members	6 to 12	12	20	12	6 to 12	390 to 400
Instalment	Rs 2,000 to 10,000	Rs 10,000	Rs 25,000	Rs 10,000	any amount	Rs 450 to 500 a day
Frequency	monthly or weekly	monthly	monthly	monthly	monthly	daily
Income checked	☐	☒	☒	☒	☐	☒
Automatic debit	☐	☒	☒	☒	☒	☒
Takaful or insurance	☐	☒	☒	☒	☐	☒
Credit report read	☐	☒	☒	☒	☐	☒
Typical members	family, colleagues, neighbours, bazaar traders	people who do not know each other	larger amounts	buying a motorcycle or machine	relatives in Pakistan and the UAE	daily earners

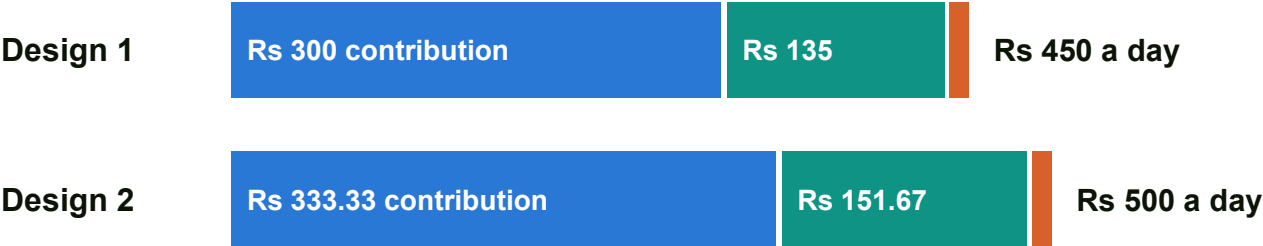
☒ required
 ☐ not required
 ☐ check level 1
 ☒ check level 2
 ☒ check level 3
 In every type, early turns must be earned.

Hyper Daily Committee



Experimental: a daily circle for daily earners, in two designs

Daily payment by design Rs a day



■ contribution, to the pot ■ takaful or insurance ■ fee, Rs 15 a day

	Design 1	Design 2
Members	400	390
Collecting days	50	26, Sundays off
Collecting each day	8	15
Pot	Rs 15,000	Rs 8,666.67
Fee a member, whole circle	Rs 750	Rs 390
Fee, whole circle	Rs 300,000	Rs 152,100
Takaful or insurance a member	Rs 6,750	Rs 3,943.33

Controls

- Income: Rs 1,000 or more credited on 5 days a week for 8 weeks
- Check level 3: every check applies
- Automatic debit required
- One daily circle per member
- Late charges 5%, 10% and 15% at 12, 36 and 60 hours
- New days stop opening when losses would exceed the takaful or insurance limit
- Every payment reported to the credit record
- Run as an experiment, with its own limits agreed with Mashreq

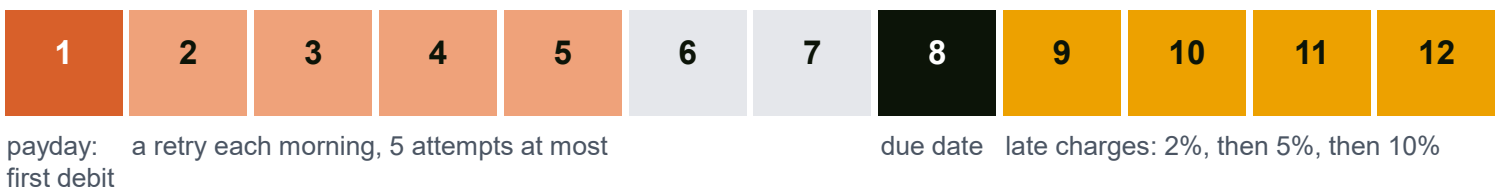
Payment Collection



Three collection methods, with Mashreq's direct debit mandate as the automatic method

Method 1 One-tap approval The member approves a payment request by card, mobile wallet or Raast. Used for: Known circles, and when an automatic debit fails	Method 2 Automatic debit Mashreq's direct debit mandate on the member's Mashreq account; or a saved card or wallet charged through the PSP. Used for: Required on circles between strangers, asset, UAE family and Hyper circles	Method 3 Manual payment The member sends the instalment from any bank account or wallet. Used for: Always available
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One instalment, day by day days of the month



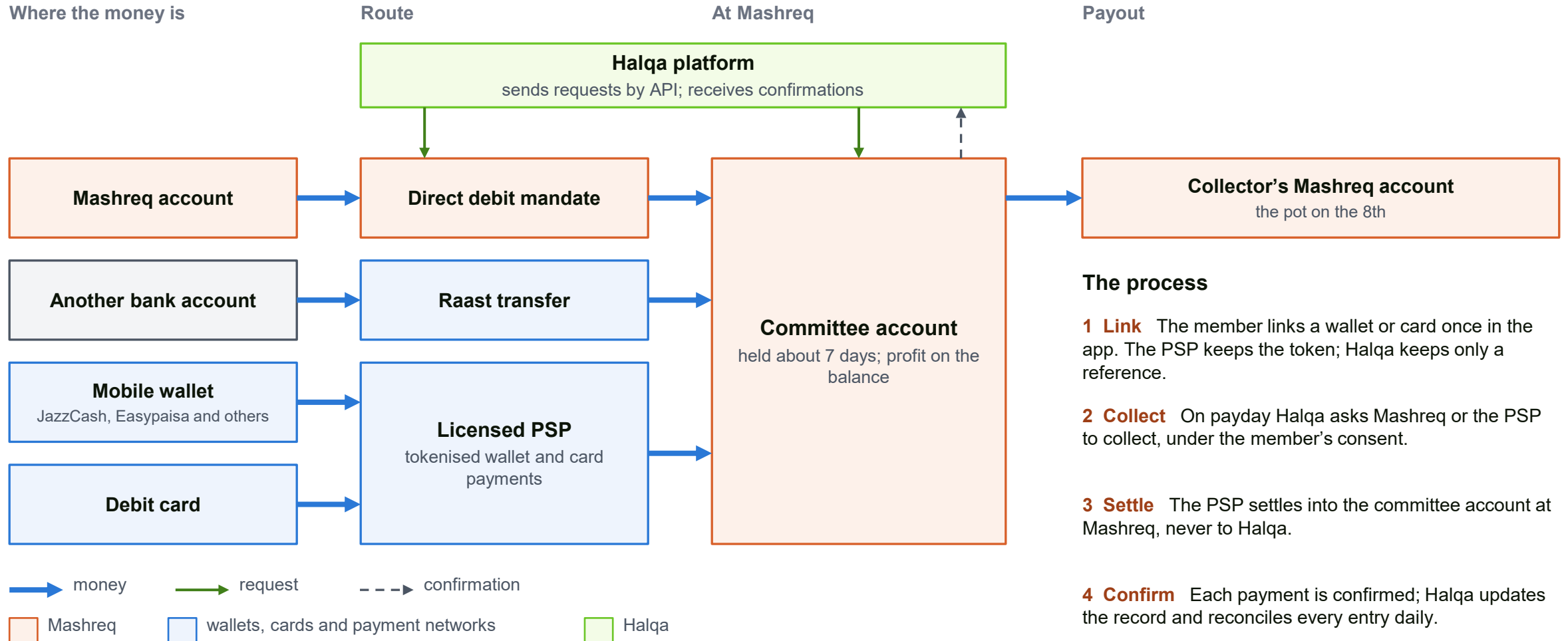
The evening before payday the member gets a reminder on WhatsApp. The payday is learned from the account the salary arrives in.

- Rules on every automatic debit**
- At most one instalment each time
 - Only on the circle's schedule
 - Cancelling moves the member to method 1 or 3; the commitment to the circle stays
 - A missed amount is held against the member's own pot, never owed to Halqa

Wallets and PSP Integration



How money in a wallet, a card or another bank reaches the committee account at Mashreq



Default Prevention



Controls before joining, at joining, at each instalment and after a missed payment

Before joining	At joining	Each instalment	After a missed payment
■ Identity, income and affordability checks ■ The credit score decides which turns open ■ The host admits each member ■ At most 6 circles and 1 daily circle per member	■ Every rupee owed shown before signing ■ 24 hours to withdraw at no cost ■ Ten clause undertaking and a mutual guarantee between members ■ Direct debit mandate consent ■ Takaful or insurance on circles between strangers	■ Reminder the evening before payday ■ Debit on the member's payday ■ A retry each morning, 5 attempts at most ■ Due on the 8th	■ Arrears taken from the member's own pot before they collect ■ Late charges of 2%, 5% and 10% ■ Credit score down 10, 20 and 40 points ■ Daily circles: 5%, 10% and 15% at 12, 36 and 60 hours ■ Recovery steps if the member has already collected
Who acts: Halqa's checks and the host	Who acts: the member signs; Mashreq registers the direct debit mandate	Who acts: Halqa reminds; Mashreq collects	Who acts: Halqa records; arrears settled from the member's pot

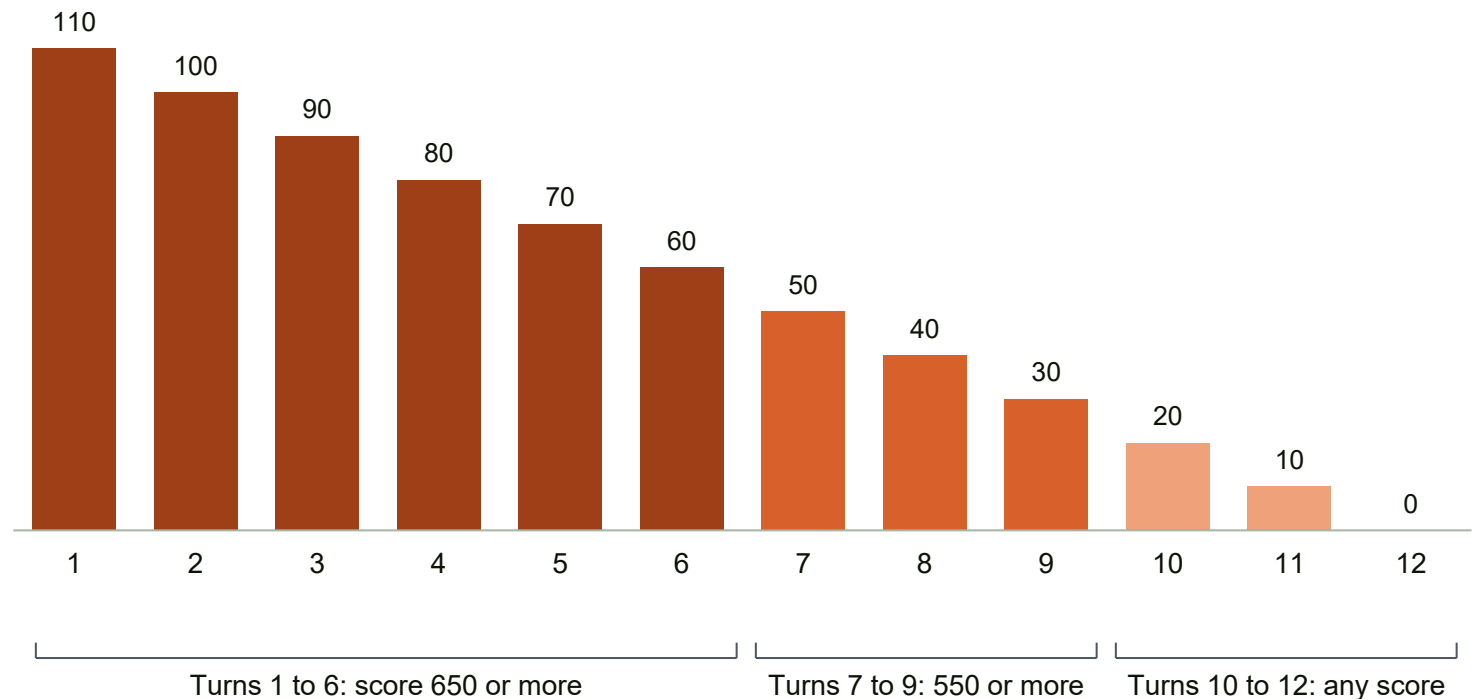
Where the risk sits: a member who has not yet collected cannot leave the others short. Only early collectors can, so early turns are restricted by score (next page).

Turn Eligibility



Amount still owed after collecting, and the credit score needed for each turn

Still owed after collecting: circle of 12 at Rs 10,000 Rs thousand, by turn



Rs 110,000

the most anyone can owe: turn 1 of 12

Rules

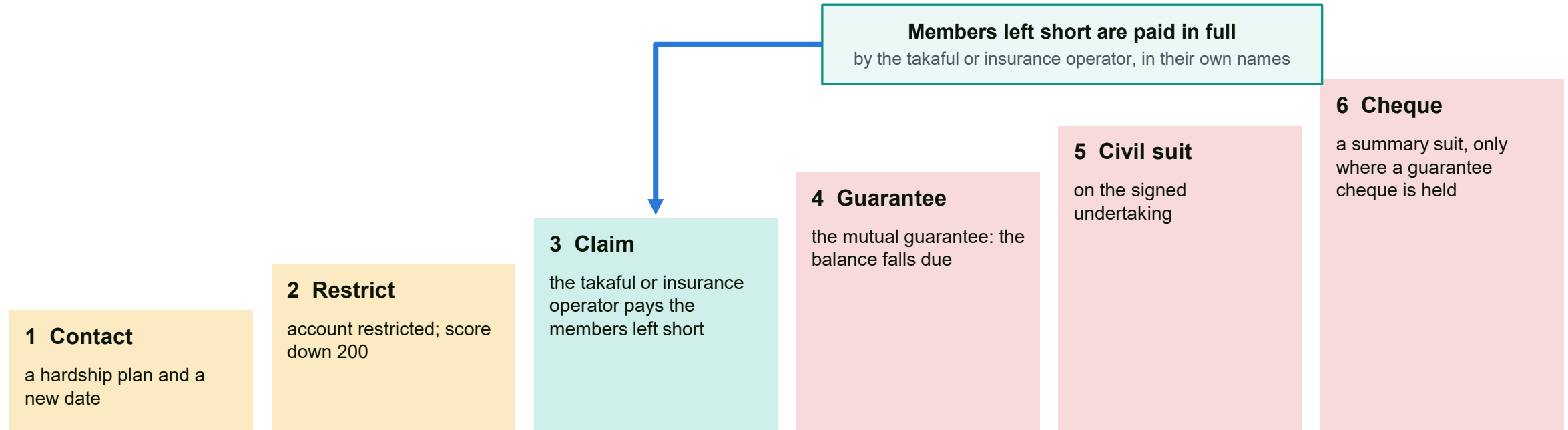
- Bands are mandatory, with no exceptions
- Every new member starts in the last three turns
- Earlier turns open after two circles complete cleanly
- The score is checked again before each circle

Example

A new member joining a circle of 12 may choose turn 10, 11 or 12. After two clean circles and a score of 650 or more, any turn is open.

Recovery

Steps after a member stops paying having already collected the pot



Each step is used only if the one before it fails.

About 5.5%

of the instalment: the takaful or insurance price for the stress case [1]

Mashreq chooses

its insurance partner or a takaful operator

Never

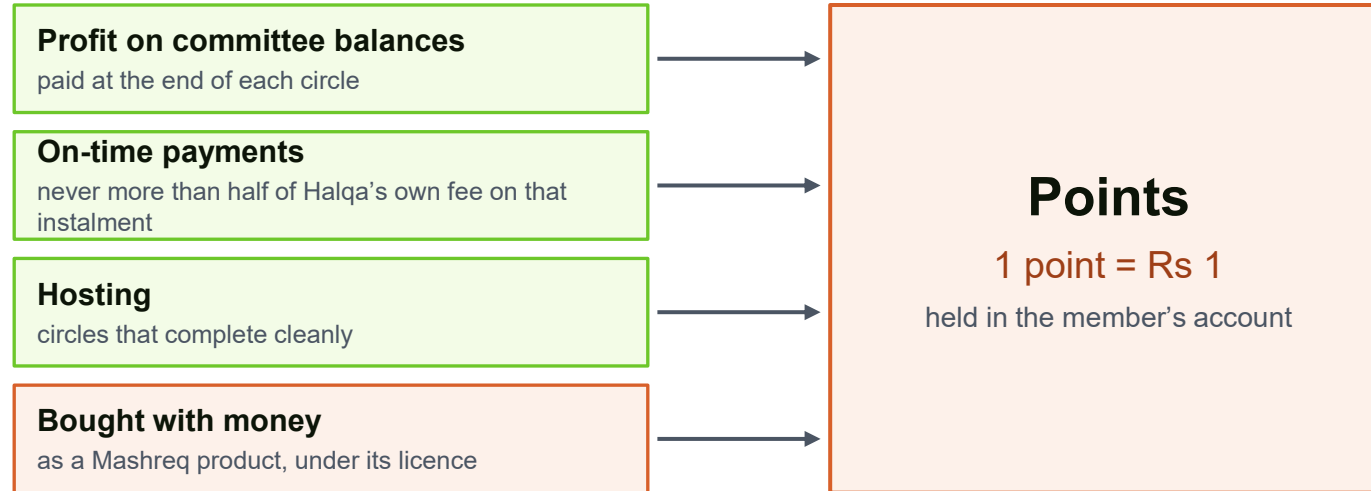
calls to relatives, contact lists or published names

Points and Rewards

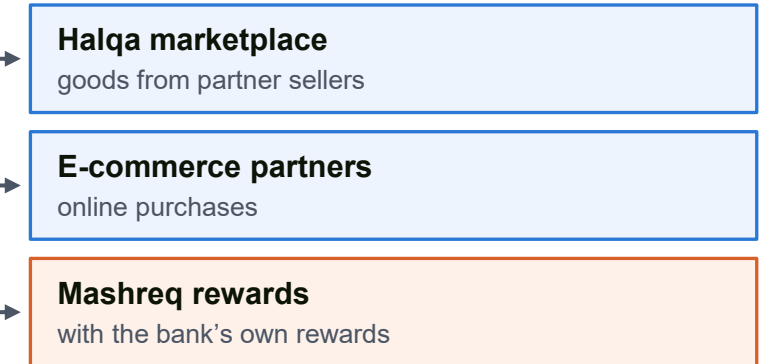


Profit on committee balances and on-time payments, returned to members as points

Earn



Spend



Worked example: profit on one circle of 12 at Rs 10,000 per month and per circle



Turn exchange: members may exchange turns; the price is capped at the value of the pot, the buyer's score must qualify for the earlier turn, the host approves, and a fee is charged on each exchange.

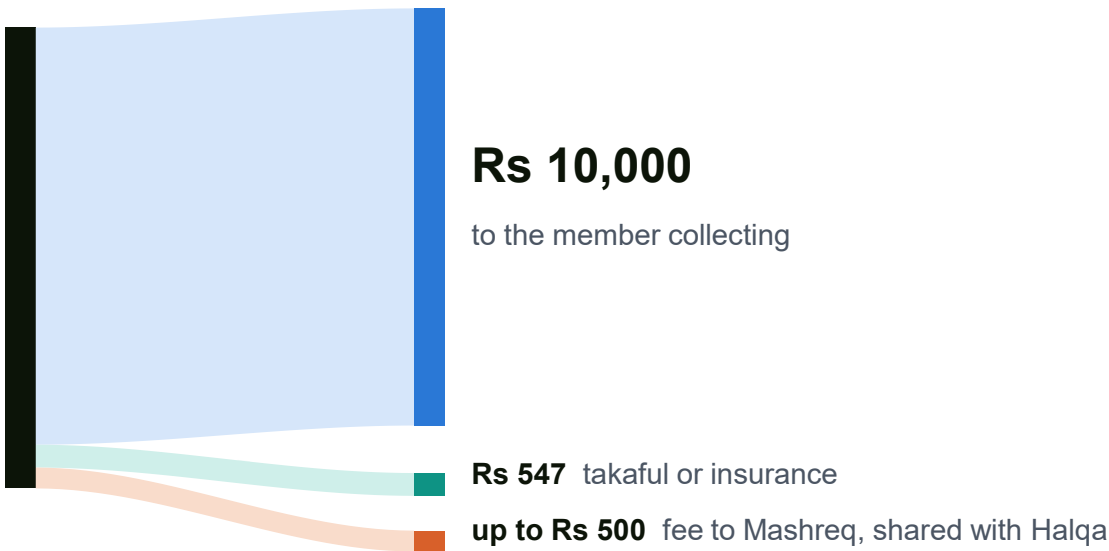
Revenue and Business Model



How one instalment is split, where Halqa's income comes from and when it breaks even

One instalment on a circle between strangers Rs

The member pays Rs 11,047

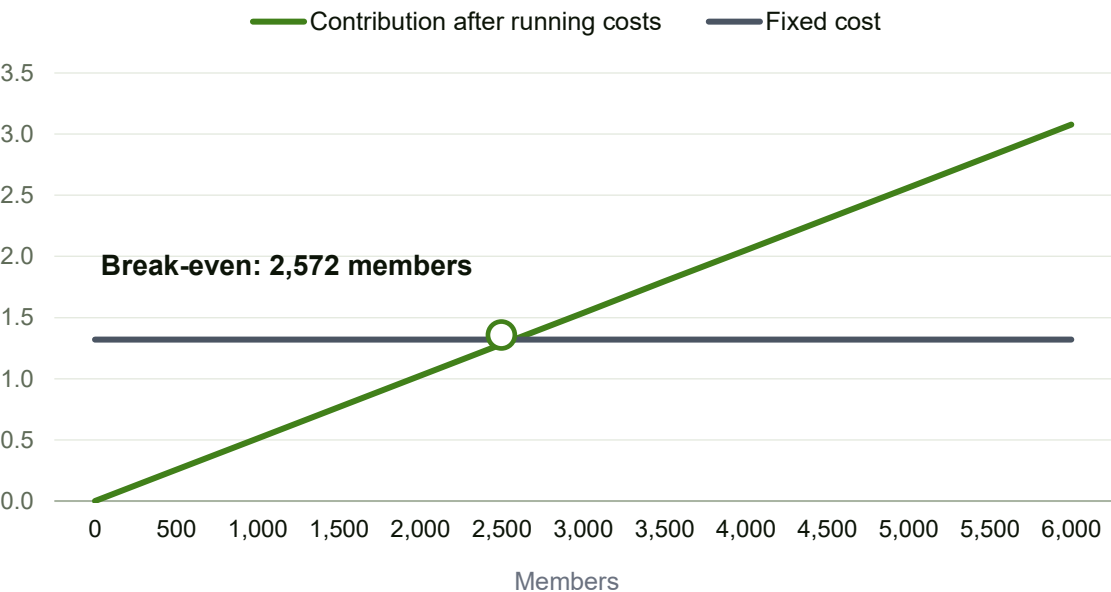


Income lines

Now: a share of the fee Mashreq collects; a share of Mashreq's income on committee balances

Later: asset financing referrals (2 to 4% from the financier, 1 to 3% from the dealer); marketplace commission; employer programmes

Halqa's costs and contribution by members Rs million a month



Unit costs, 25 September model

Rs 13 to 35
to run one payment

Rs 1.32 million
fixed cost a month

About Rs 510
contribution a member a month

Comparison



Halqa with Mashreq against Oraan, JazzCash Committee and informal committees

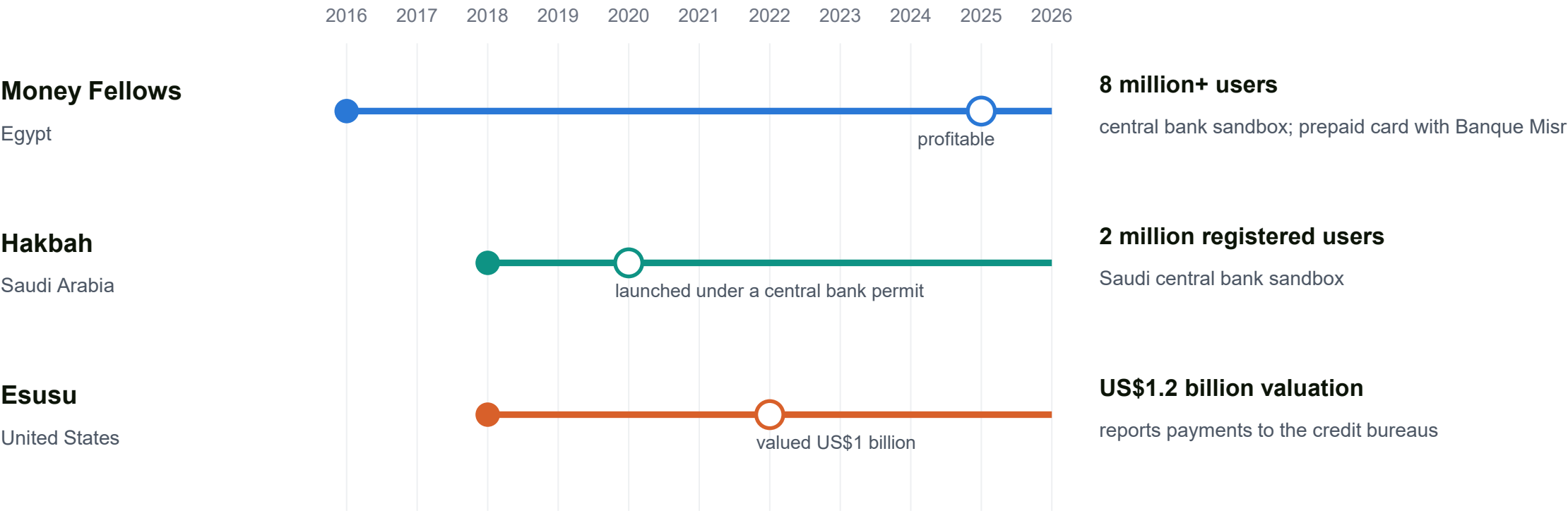
	Halqa with Mashreq	Oraan	JazzCash Committee	Informal committee
Money held by a licensed bank	☒ Mashreq	☐ own company accounts	<input partly="" type="radio"/> organiser's wallet	☐ the organiser
Same fee for every turn	☒ one flat fee	☐ up to 21% a month	<i>not published</i>	☒ usually none
Paid out automatically	☒ the same day	<input partly="" type="radio"/> 11th to 18th	☐ by hand	☐ by hand
Members checked	☒ identity, income, score	<input partly="" type="radio"/> device, bureau	☐ phone contacts	<input partly="" type="radio"/> people known
Defaults protected	☒ takaful or insurance	<input partly="" type="radio"/> own balance sheet	<i>not stated</i>	☐ organiser's pocket
Credit record	☒ every payment	<input partly="" type="radio"/> defaulters only	☐ none	☐ none
Reach today	☐ new	<input partly="" type="radio"/> 600,000+ sign ups	☒ 60 million registered	☒ 4 in 10 Pakistanis

☒ yes
 ☐ partly
 ☐ no

International Evidence



Committee platforms abroad and the institutions behind them



Common pattern

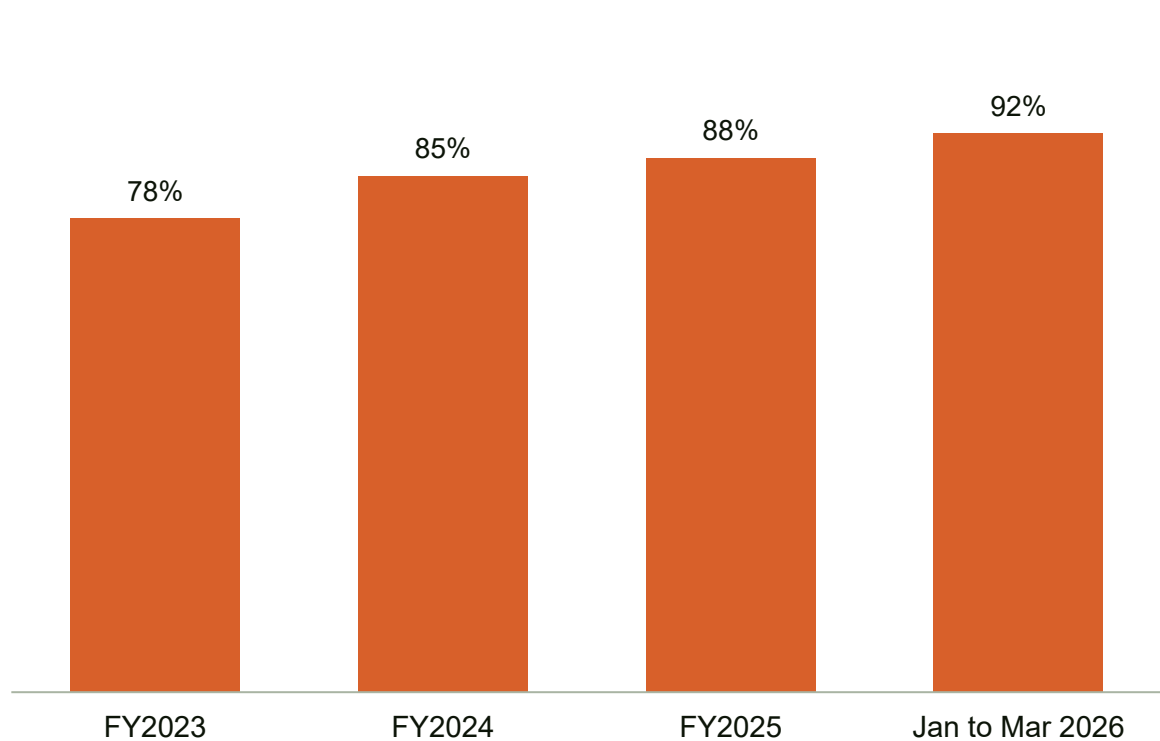
Each grew inside the formal system: a central bank sandbox or permit, a partner bank, or reporting to the credit bureaus. The same sequence is proposed with Mashreq.

Market Timing



Payments in Pakistan have moved to digital channels; committee savings have not

Share of retail payments made digitally per cent



69 million

mobile wallet users at the end of 2024 [1]

21 million

mobile banking app users [1]

Aug 2026

JazzCash launched a committee feature [2]

75% by 2028

State Bank target for adults with an account, from 64% [3]

26%

of adults are financially literate; a committee needs no financial knowledge [4]

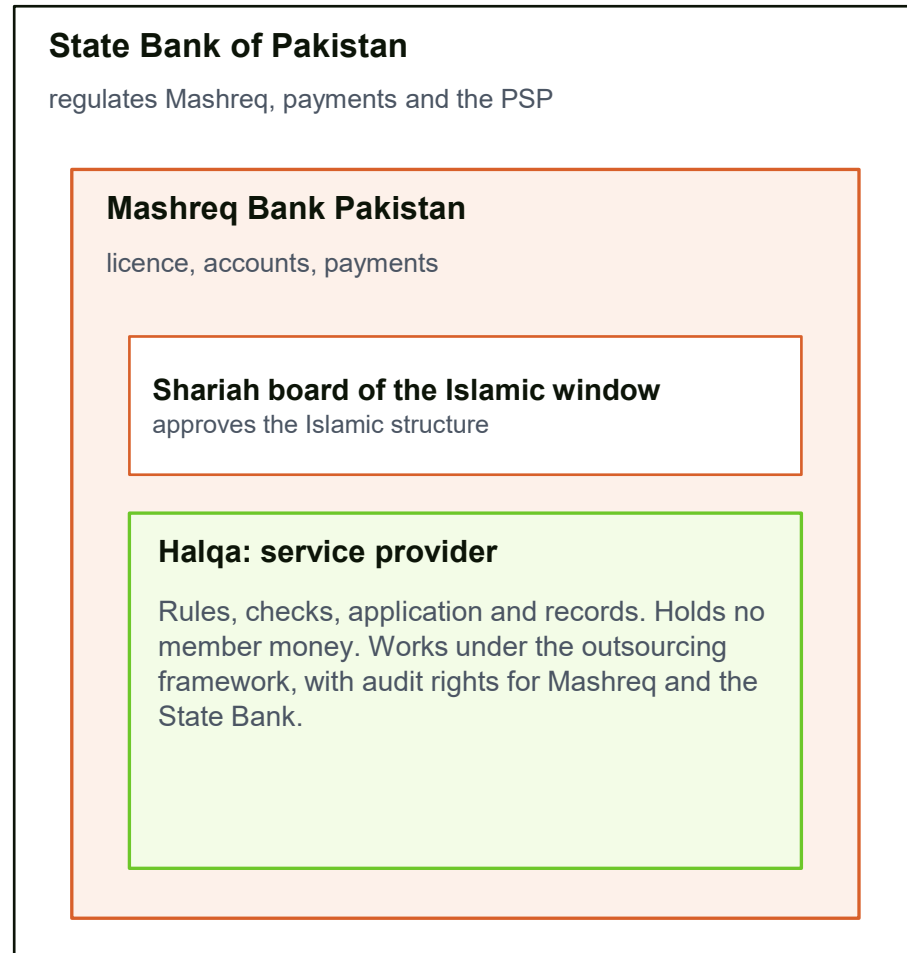
2.9 billion

banking app payments in January to March 2026 [1]

Regulation and Compliance



Regulation through Mashreq's licence, with Halqa as its service provider



Area	Rule	How it is met
Member money	Only a bank may take deposits (Companies Act 2017, s.84)	Held only by Mashreq; Halqa never receives it
Service provider	SBP outsourcing framework, 2017, revised 2019	Audit rights, data security and continuity for Mashreq and the State Bank
Automatic debit	Payment Systems and Electronic Fund Transfers Act 2007, s.35	Member consent in the app; the direct debit mandate is Mashreq's
Credit reporting	Credit Bureaus Act 2015	Through Mashreq's TASDEEQ membership or Halqa as a data provider
Takaful or insurance	Insurance Ordinance 2000: only a licensed operator may insure	Written by an operator Mashreq chooses
Product approval	State Bank approval or notice	Taken to the State Bank by Mashreq
Data	Customer data protection	Results only; no face images, card numbers or passwords

Current Status

What is built, what is written and what remains before launch

Built

- Member application in preview: sign up, circles, automatic payment settings, activity, credit report, Hyper
- Checks: identity, income, affordability and score
- Payday collection with retries
- Records, receipts and statements

Written

- Legal position checked against twelve laws and regulations
- Six risk and pricing models
- Default prevention and recovery design
- Business model and unit costs

To do

- Incorporation: private limited company, registered office in Islamabad
- Agreement with Mashreq
- Product approval through Mashreq
- Connection to Mashreq's account, direct debit mandate and payment interfaces, and the PSP
- Takaful or insurance operator and TASDEEQ reporting route

No member money has moved: every payment in the application today is a test record.